Hospitality Capital Markets Report

Newport Beach/Dana Point

Orange County - CA USA

PREPARED BY

visit Anaheim

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CoStar™

HOSPITALITY CAPITAL MARKETS REPORT - SUBMARKET

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Capital Markets Overview

Newport Beach/Dana Point Hospitality

Asset Value	12 Mo Sales Volume	Market Cap Rate	Mkt Sale Price/Room Chg (YOY)
$6.9B	$47.6M	7.3%	0.9%

12 MO SALES VOLUME	Total	Lowest	Highest
Transactions	4	-	-
Sales Volume	$37.2M	$5.9M	$17.5M
Properties Sold	4	-	-
Transacted Rooms	552	87	240
Average Rooms	138	87	240

12 MO SALES PRICE	Average	Lowest	Highest	Market
Cap Rate	-	-	-	7.3%
Sale Price/Room	$119.2K	$54.3K	$201.1K	$603K
Sale Price	$12.4M	$5.9M	$17.5M	-
Sale vs Asking Price	-	-	-	-
Months To Sale	-	-	-	-

KEY PERFORMANCE INDICATORS

SUMMARY

Over the past 12 months ending January, the Newport Beach/Dana Point Submarket recorded 5 hotel sales totaling $58.7 million, materially below the three-year average of $211 million, and indicative of continued investor caution. Transaction volume was meaningfully higher in 2024, reaching $110.5 million, but that activity was heavily skewed by a single large sale in June, which accounted for more than 70% of the year's total and temporarily inflated overall deal volume.

Deal activity was largely concentrated in smaller independent and limited-service hotels, with private buyers accounting for most acquisitions. The standout transaction occurred in June 2024, when California-based Dune Drifter acquired the 125-room Pacific Edge Hotel in Laguna Beach for $80 million, equating to approximately $640,000 per key. Even with the asset operating under a ground lease, the pricing ranks among the highest ever achieved in the submarket. Highgate Hotels and Morgan Stanley, which purchased the

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property in 2017 for $57.5 million, realized meaningful value appreciation. The implied cap rate of roughly 3% underscores investor conviction in the hotel's irreplaceable coastal location and future redevelopment upside. Dune Drifter, backed by an investor group that includes Chris Harrison of the Marriott family, has announced plans to invest more than $125 million in a full-scale repositioning, encompassing renovated guestrooms and enhanced amenity offerings.

More broadly, the submarket continues to lead Orange County in transaction volume by deal count and maintains the region's highest concentration of luxury hotel inventory. It also stands alone as the only local submarket to have recorded hotel trades exceeding $1 million per key over the past five years.

Looking ahead, deal flow is expected to remain limited. Investors continue to face elevated borrowing costs, risk-averse lenders, and uncertain operating fundamentals. Meanwhile, owners are weighing increasing capital needs—from brand-mandated PIPs to refinancing challenges and pressure from limited partners nearing the end of investment cycles. Until capital markets stabilize and performance strengthens more broadly, transaction volume is likely to remain muted.

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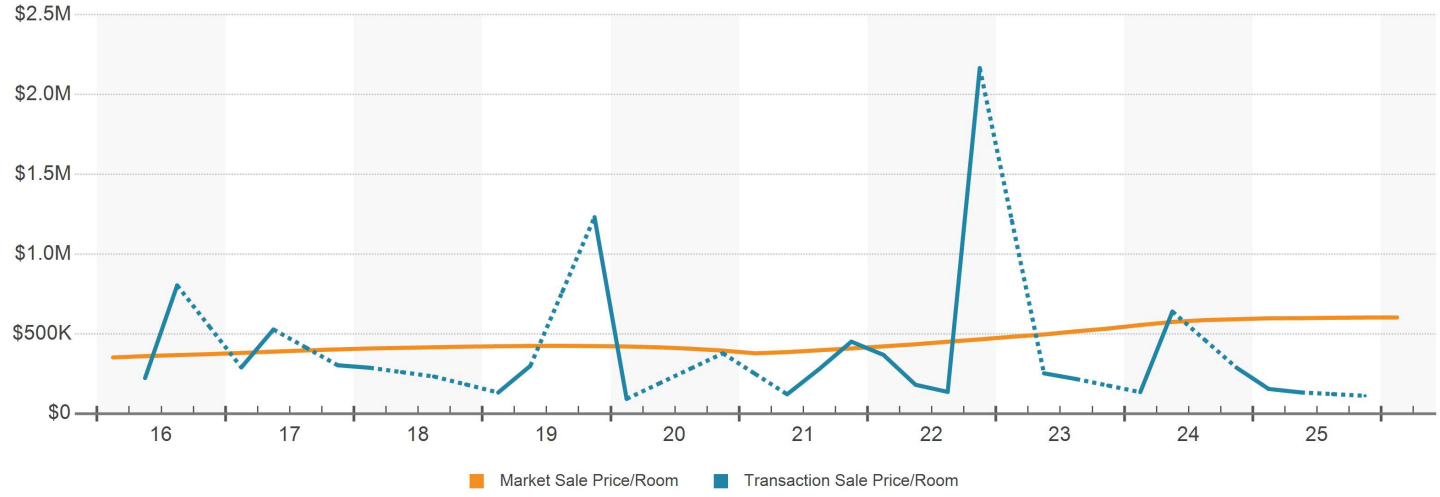
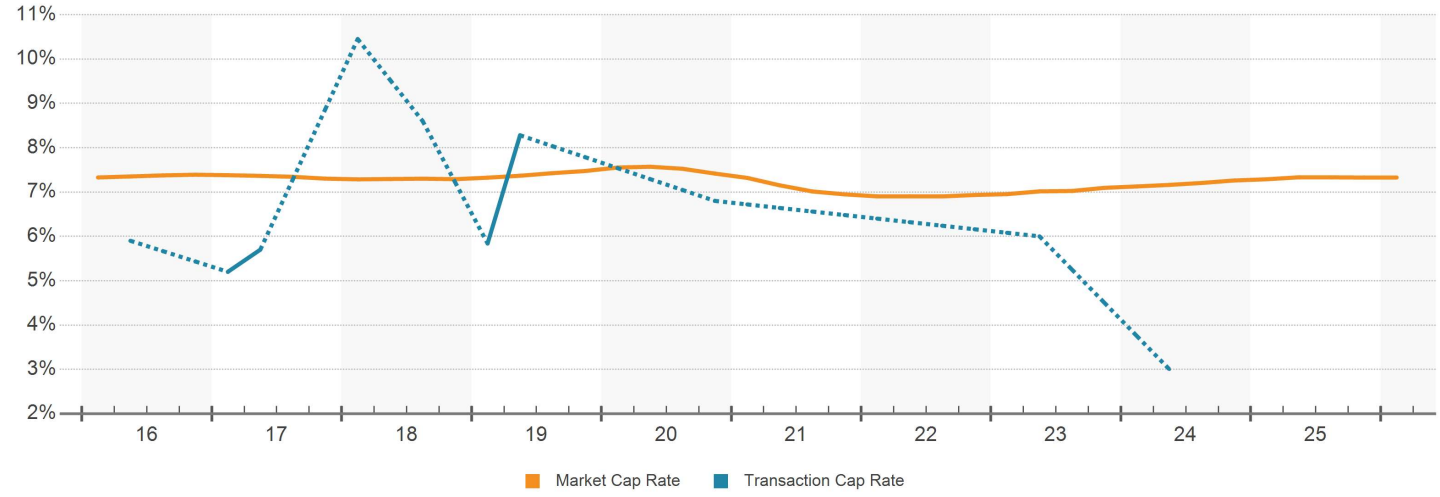
Capital Markets Overview

Newport Beach/Dana Point Hospitality

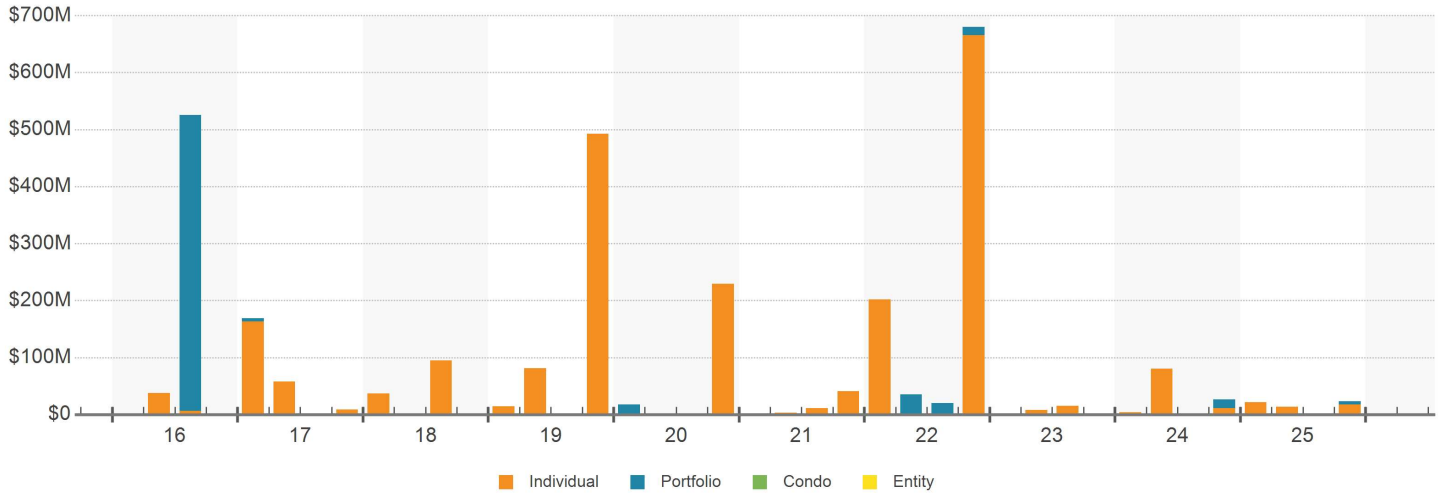
MARKET SALE PRICE & TRANSACTION SALE PRICE PER ROOM



MARKET CAP RATE & TRANSACTION CAP RATE



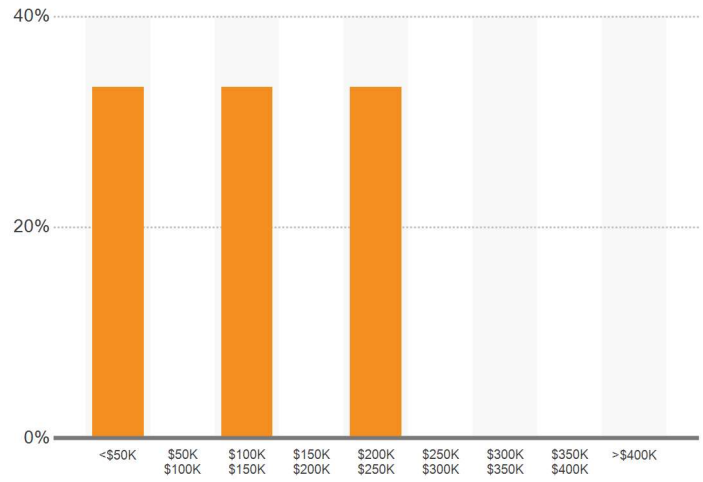
SALES VOLUME BY TRANSACTION TYPE



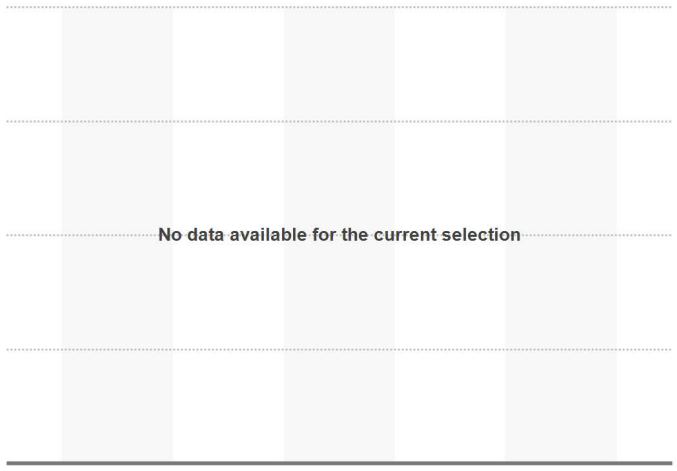
Capital Markets Overview

Newport Beach/Dana Point Hospitality

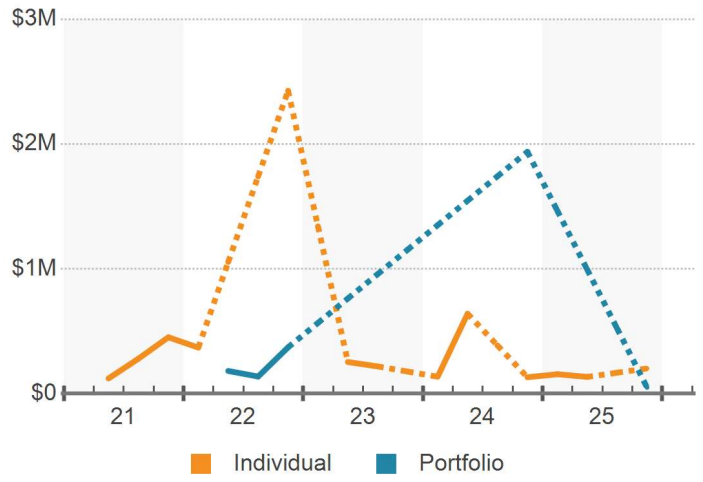
SALE PRICE PER ROOM DISTRIBUTION PAST 12 MONTHS



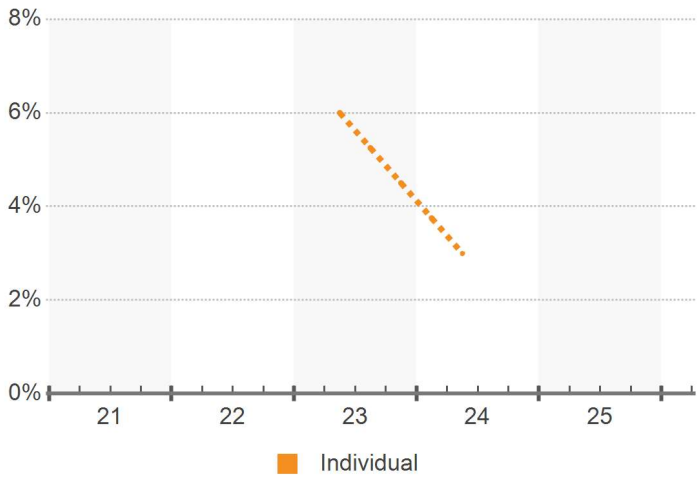
CAP RATE DISTRIBUTION PAST 12 MONTHS



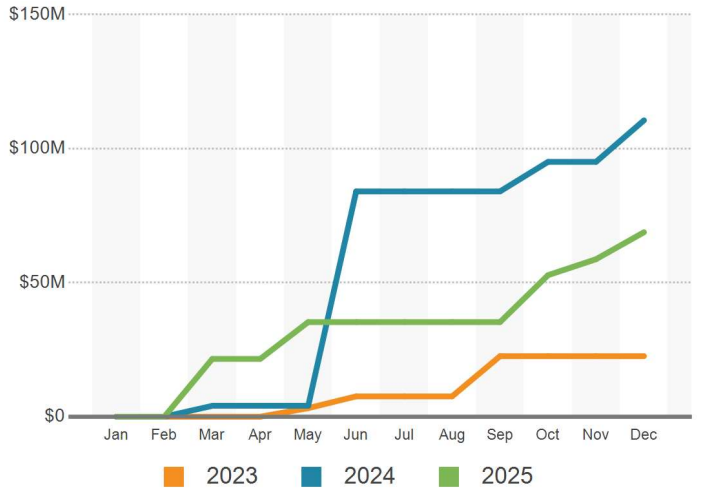
SALE PRICE PER ROOM BY TRANSACTION TYPE



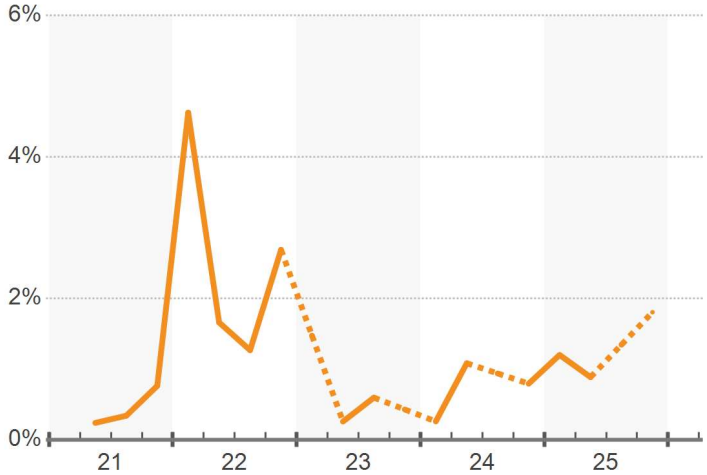
CAP RATE BY TRANSACTION TYPE



CUMULATIVE SALES VOLUME BY YEAR



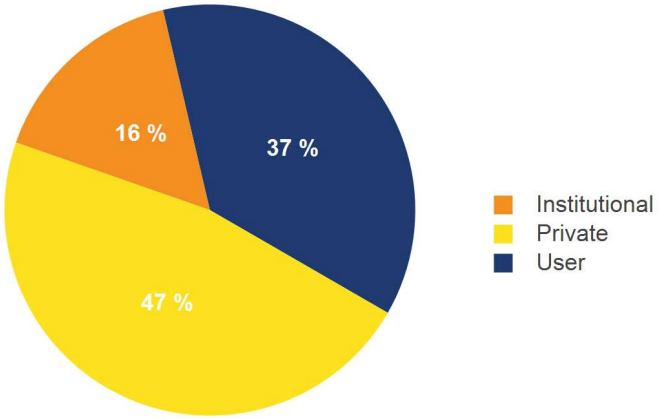
SOLD ROOMS AS % OF TOTAL ROOMS



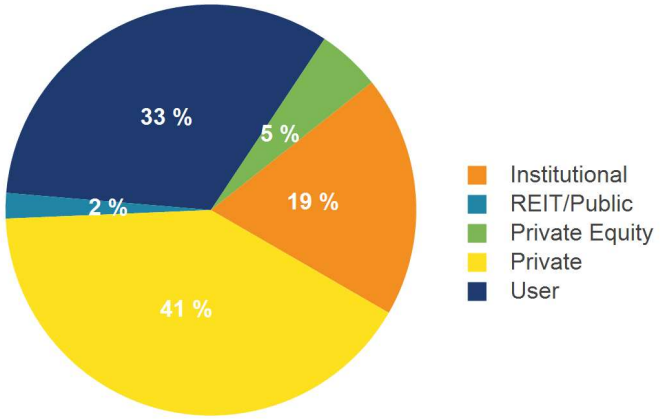
Capital Markets Overview

Newport Beach/Dana Point Hospitality

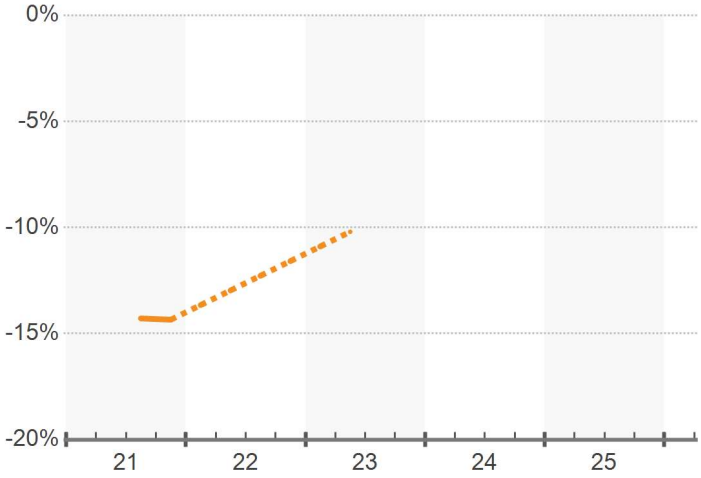
SALES VOLUME BY BUYER TYPE PAST 12 MONTHS



ASSET VALUE BY OWNER TYPE

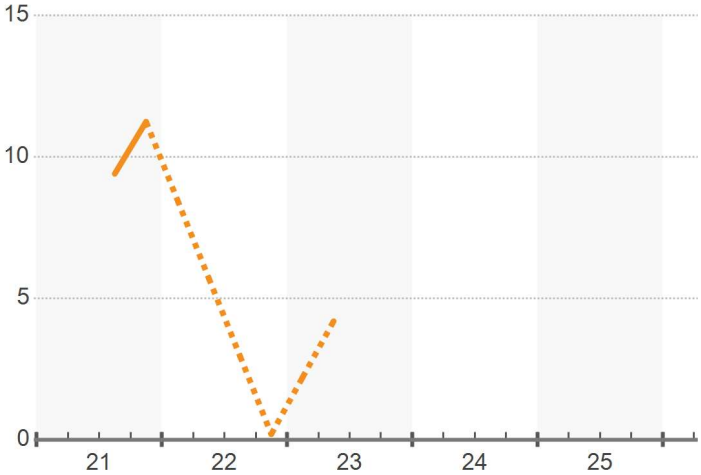


SALE TO ASKING PRICE DIFFERENTIAL

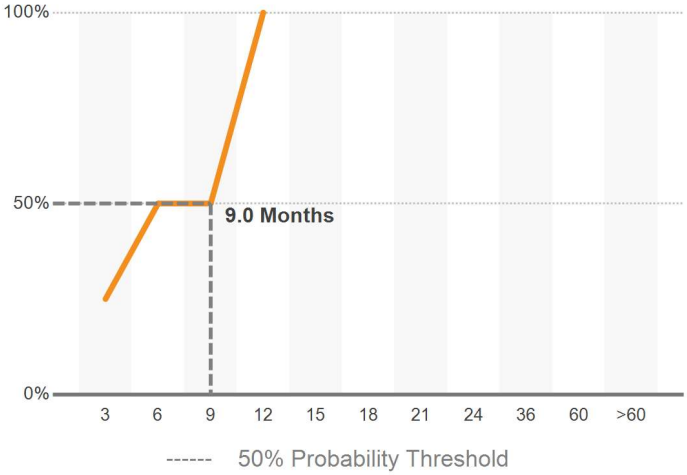


SALE PRICE DISTRIBUTION PAST 12 MONTHS

MONTHS TO SALE



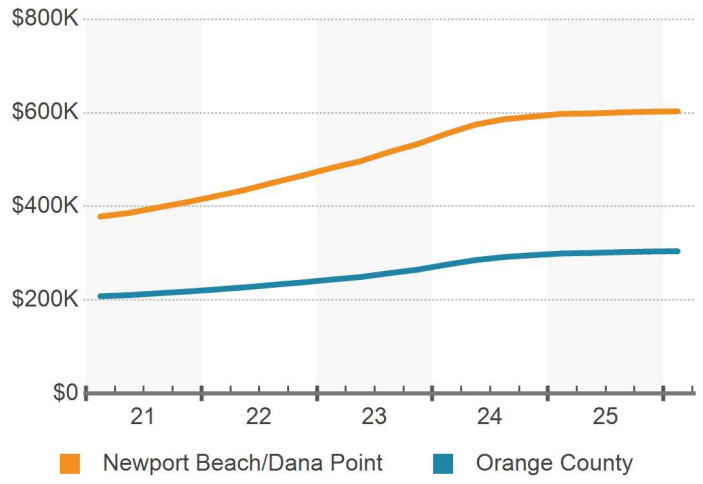
PROBABILITY OF SELLING IN MONTHS



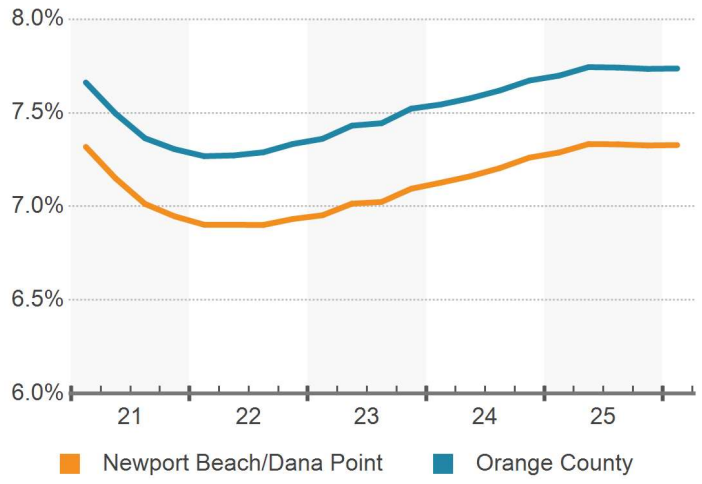
Market Pricing

Newport Beach/Dana Point Hospitality

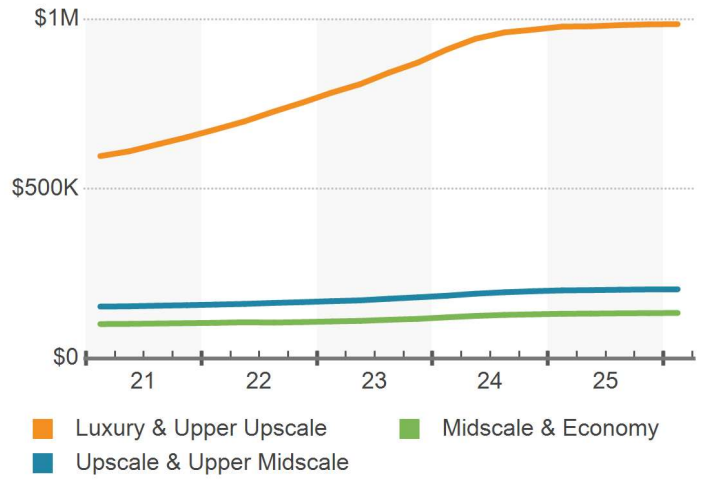
MARKET SALE PRICE PER ROOM



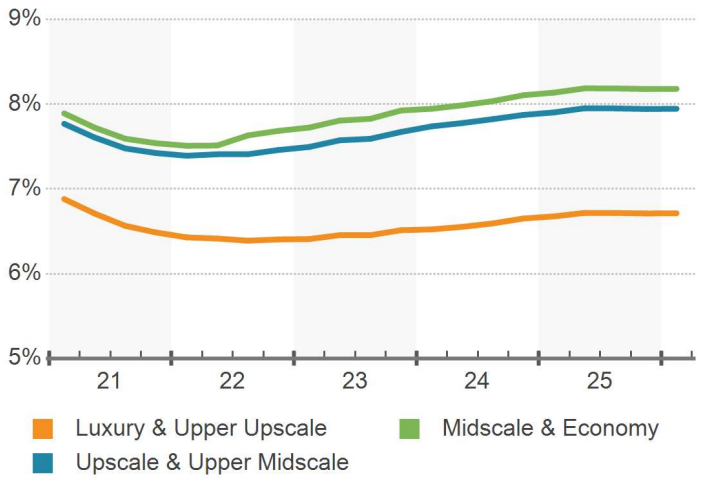
MARKET CAP RATE



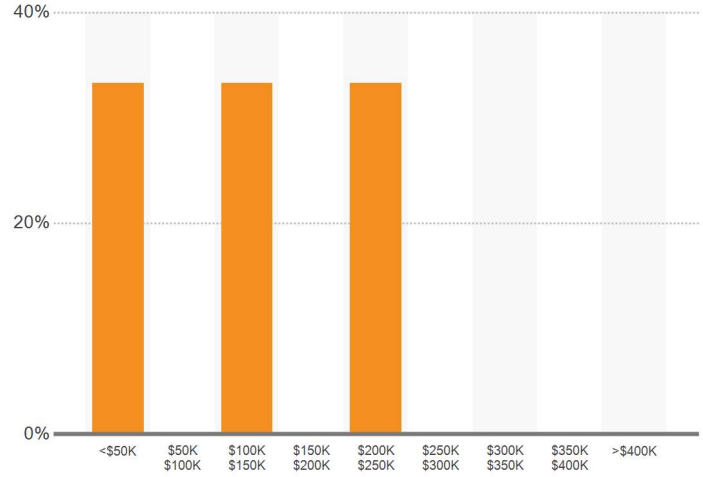
MARKET SALE PRICE PER ROOM BY CLASS



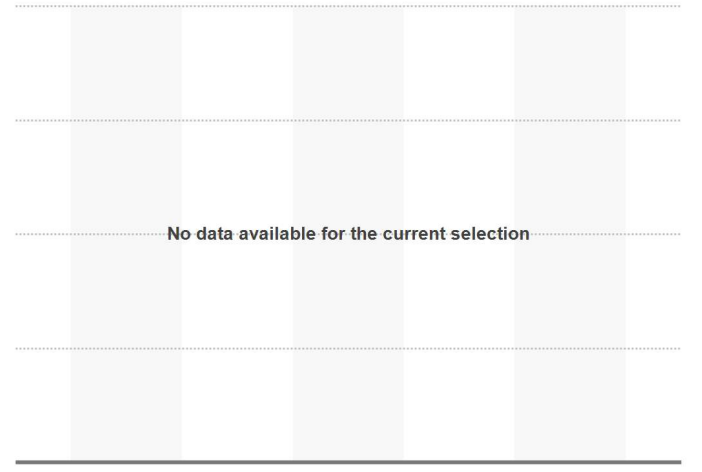
MARKET CAP RATE BY CLASS



MARKET SALE PRICE PER ROOM DISTRIBUTION



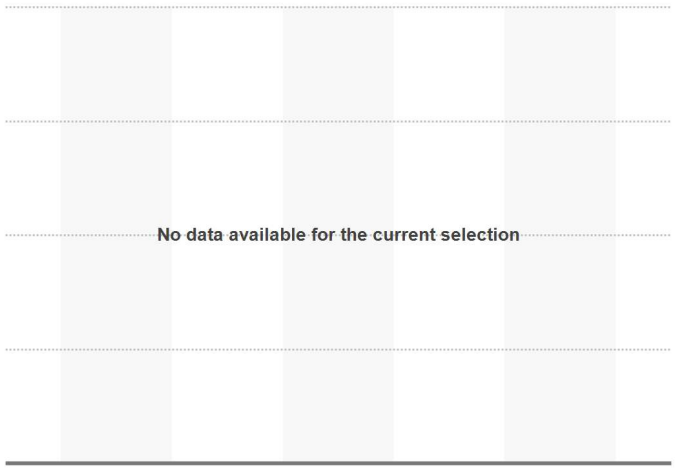
MARKET CAP RATE DISTRIBUTION



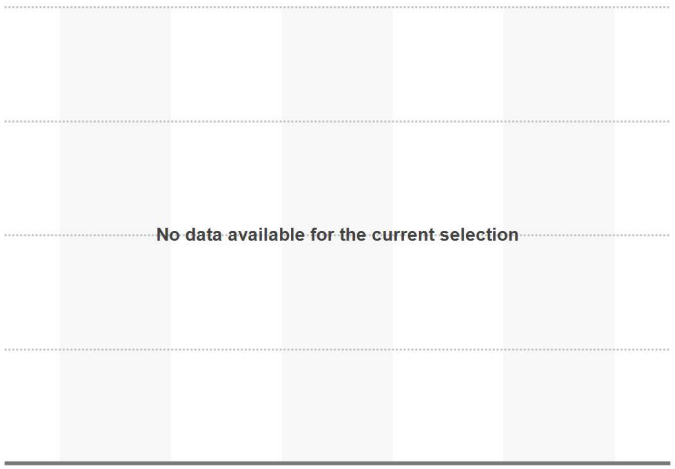
Market Pricing

Newport Beach/Dana Point Hospitality

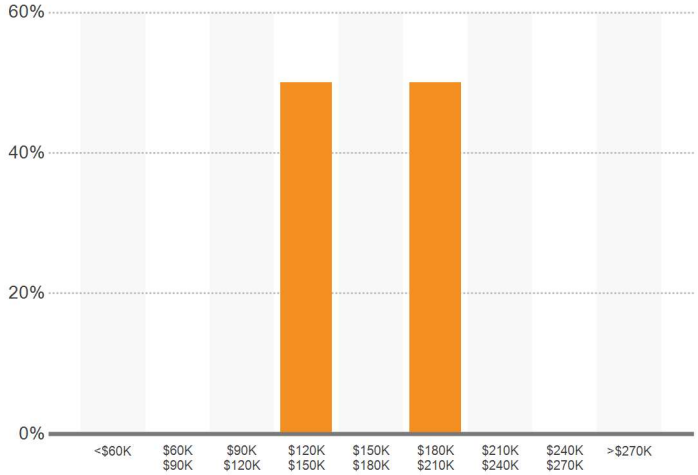
LUXURY & UPPER UPSCALE MARKET SALE PRICE PER ROOM DISTRIBUTION



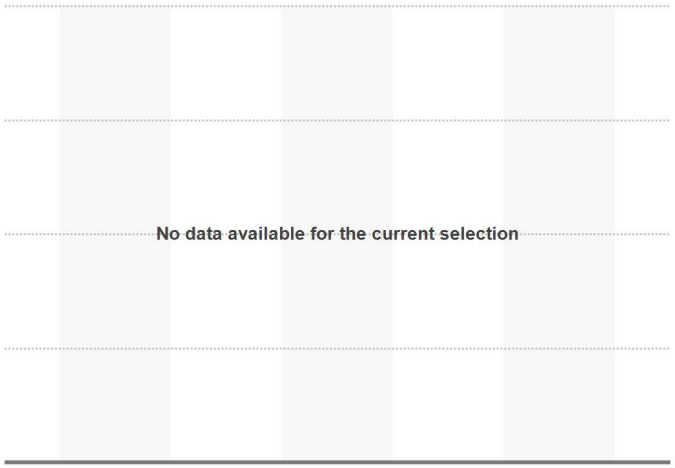
LUXURY & UPPER UPSCALE MARKET CAP RATE DISTRIBUTION



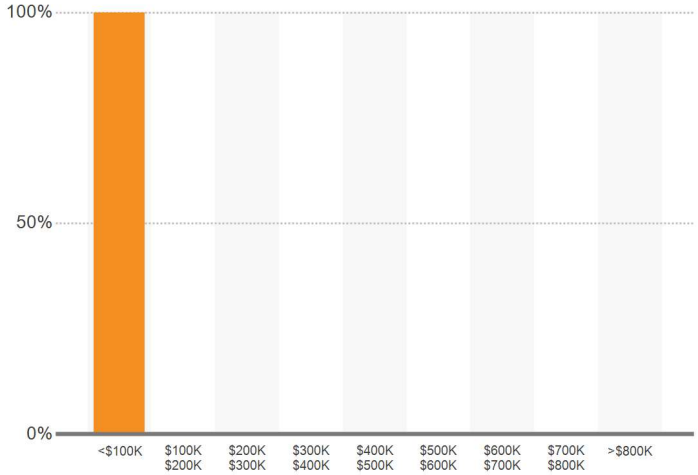
UPPER MIDSCALE & UPSCALE MARKET SALE PRICE PER ROOM DISTRIBUTION



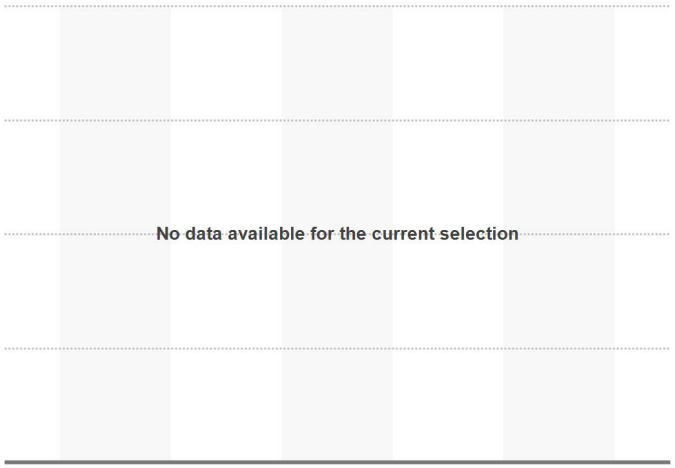
UPPER MIDSCALE & UPSCALE MARKET CAP RATE DISTRIBUTION



ECONOMY & MIDSCALE MARKET SALE PRICE PER ROOM DISTRIBUTION



ECONOMY & MIDSCALE MARKET CAP RATE DISTRIBUTION



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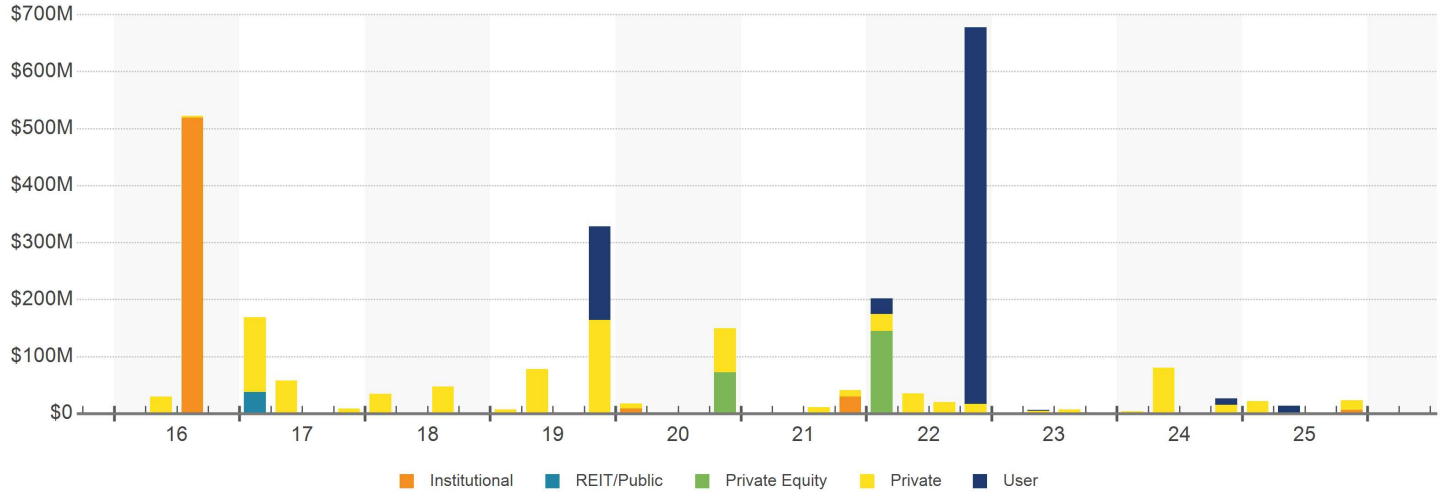
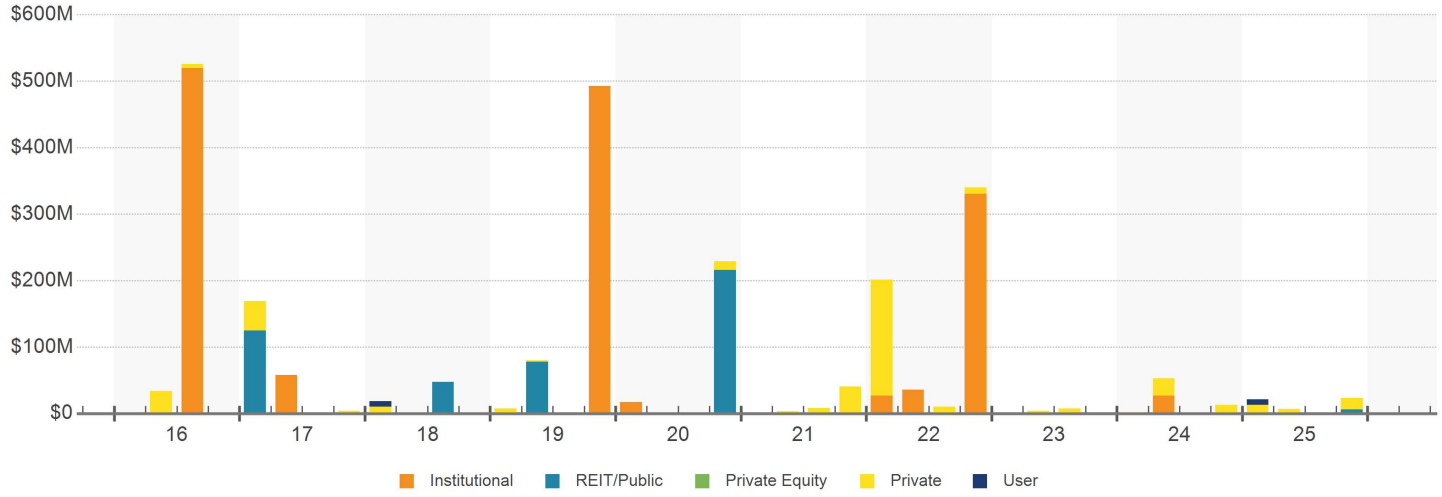
Buying & Selling By Owner Type

Newport Beach/Dana Point Hospitality

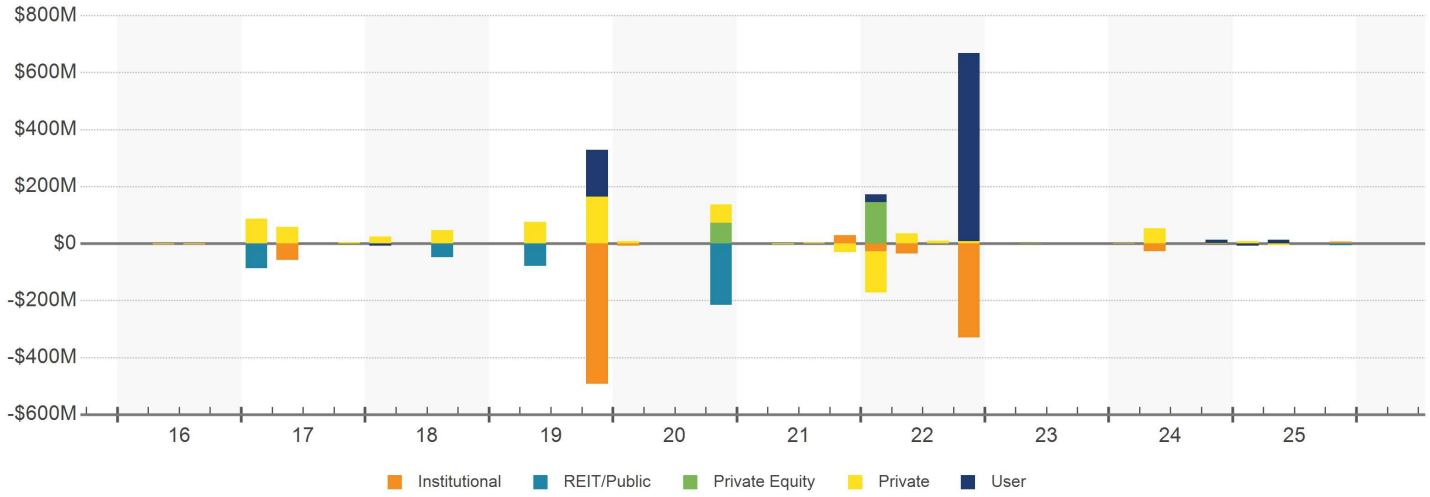
SALES VOLUME BY BUYER TYPE



SALES VOLUME BY SELLER TYPE



NET BUYING & SELLING BY OWNER TYPE



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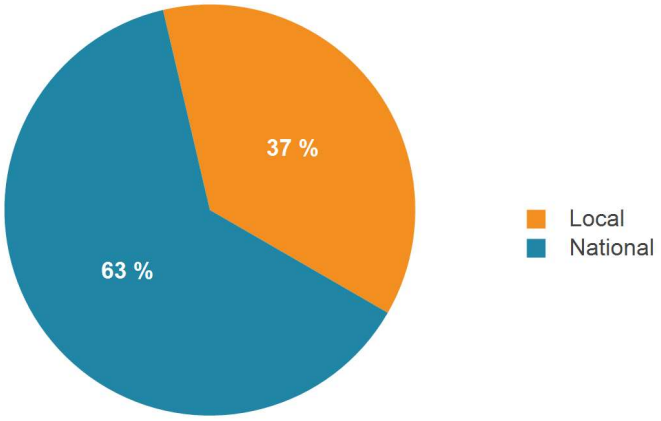
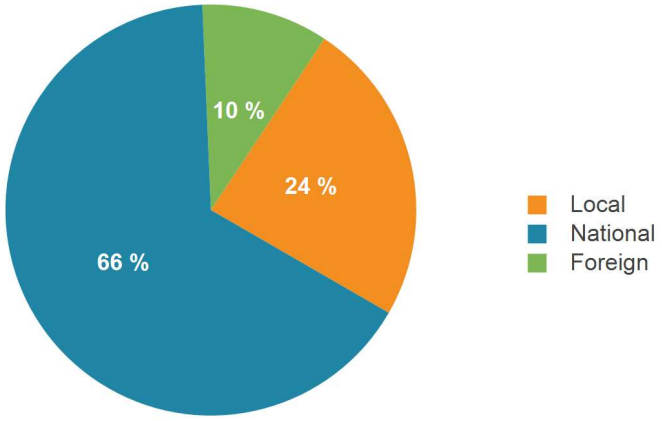
Investment Trends By Buyer & Seller Origin

Newport Beach/Dana Point Hospitality

SALES VOLUME BY BUYER ORIGIN PAST 12 MONTHS



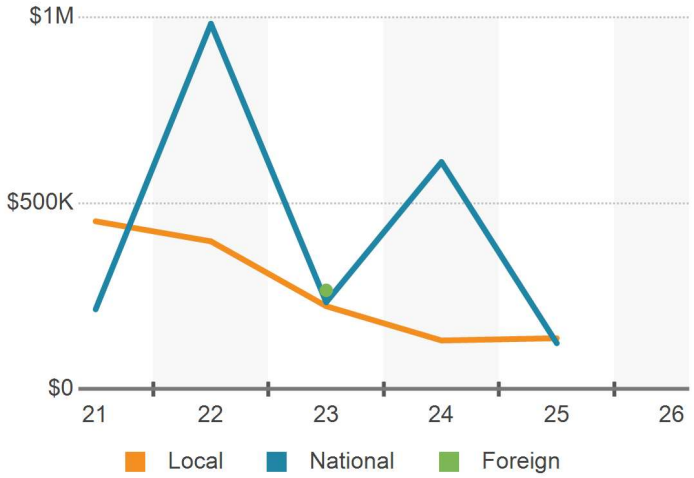
ASSET VALUE BY OWNER ORIGIN



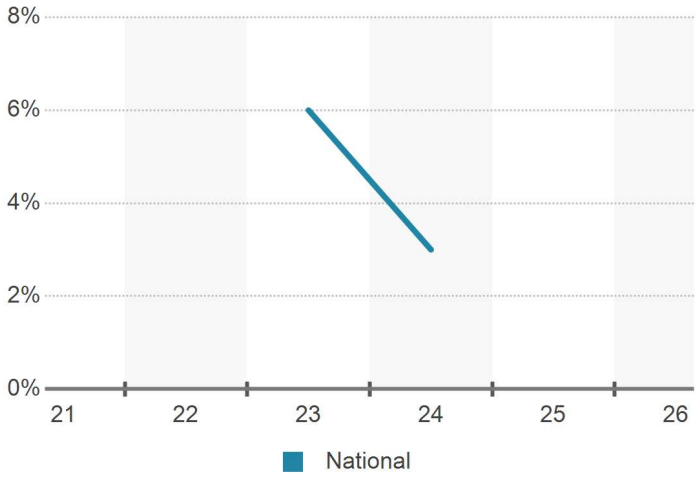
SALES VOLUME BY OWNER ORIGIN

	Total	Local			National			Foreign		
Year	Sales Volume	Bought	Sold	Net Trans	Bought	Sold	Net Trans	Bought	Sold	Net Trans
YTD	-	-	-	-	-	-	-	-	-	-
2025	$58.7M	$30.7M	$17M	$13.8M	$28M	$41.8M	-$13.8M	$0	$0	$0
2024	$110.6M	$11M	$7.8M	$3.3M	$99.6M	$102.8M	-$3.2M	$0	$0	$0
2023	$22.6M	$8M	$10.4M	-$2.4M	$14M	$11.5M	$2.6M	$531.7K	$708.9K	-$177.2K
2022	$937.2M	$167M	$176.4M	-$9.4M	$770.3M	$430.3M	$339.9M	$0	$330.5M	-$330.5M
2021	$55.2M	$40.6M	$26.5M	$14.1M	$14.6M	$28.7M	-$14.1M	$0	$0	$0
2020	$246.3M	$216M	$7.8M	$208.2M	$21.6M	$238.6M	-$216.9M	$8.7M	$0	$8.7M
2019	$588.4M	$78M	$16.1M	$61.9M	$506.8M	$572.3M	-$65.4M	$0	$0	$0
2018	$132.1M	$76.8M	$128M	-$51.1M	$55.3M	$4.2M	$51.1M	$0	$0	$0
2017	$235.2M	$0	$135.5M	-$135.5M	$235.2M	$99.8M	$135.5M	$0	$0	$0
2016	$563M	$31.6M	$25M	$6.6M	$12.4M	$538M	-$525.6M	$519M	$0	$519M

SALE PRICE PER ROOM BY BUYER ORIGIN



CAP RATE BY BUYER ORIGIN



Submarket Sales Trends

Newport Beach/Dana Point Hospitality

SUBMARKET SALES TRANSACTIONS PAST 12 MONTHS

Submarket Name	Sales Volume	Transactions	Transacted Rooms	Avg Rooms	Mkt Cap Rate	Mkt Sale Price/Room
Newport Beach/Dana Point	**$37,186,000**	**3**	**316**	**105**	**7.3%**	**$603,764**
Santa Ana/Costa Mesa	$29,775,000	3	394	131	7.9%	$237,743
Anaheim	$28,590,000	5	298	59	8.0%	$186,598
Orange County Northwest/Fulle…	$13,000,000	1	100	100	7.9%	$184,859

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Recent Significant Sales

Best Western Plus Marina Shores Hotel • 34280 Pacific…

Upper Midscale

Dana Point, CA 92629

Sale Date	Oct 2025	Buyer	Kamla Hotels (USA)
Sale Price	$17.5M ($201.1K/Ro…	Broker	Atlas Hospitality Group
Oper Type	Franchise	Seller	Sunset Pacific Hotel Group (USA)
Hold Period	20+ Years	Broker	Atlas Hospitality Group
Rooms	87	Sale Type	Investment
Year Built	1988 (Renov 2012)	Parent Co	BWH Hotels

Hilton Garden Inn Irvine East/Lake Forest • 27082 Tow…

Upscale

Foothill Ranch, CA 92610

Sale Date	May 2025	Buyer	Heritage Hotel Group (USA)
Sale Price	$13.8M ($133.5K/Ro…	Seller	Arbor Lodging Partners (USA)
Oper Type	Franchise	Sale Type	Investment
Hold Period	63 Months	Parent Co	Hilton Worldwide
Rooms	103		
Year Built	2004 (Renov 2008)		

Sonesta Simply Suites East Irvine Spectrum • 3 S Point…

Midscale

Lake Forest, CA 92630

Sale Date	Nov 2025	Buyer	Noble Investment Group (USA)
Sale Price	$5.9M ($48.7K/Room)	Seller	Service Properties Trust (USA)
Oper Type	Franchise	Sale Type	Investment
Hold Period	20+ Years	Parent Co	Sonesta International Hotels Corp
Rooms	122		
Year Built	1997 (Renov 2025)		

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TOP OWNERS

Company Name	Owned Rooms	Owned Props	Avg Rooms	12 Mo Bought	12 Mo Sold	12 Mo Net Trans
Eagle Four Partners	1,106	4	276	-	-	-
R.D. Olson Construction	747	4	186	-	-	-
WJ Newport, LLC	444	1	444	-	-	-
Blackstone Inc.	433	3	144	-	-	-
Starwood Capital Group	433	3	144	-	-	-
Extended Stay America	433	3	144	-	-	-
Woodridge Capital Partners	402	1	402	-	-	-
Yuhaaviatam of San Manuel Nation	400	1	400	-	-	-
Lyon Management Group, Inc dba Ly…	400	1	400	-	-	-
Dajia Insurance Group Co, Ltd	396	1	396	-	-	-
Regents of the University of California	378	1	378	-	-	-
S3 Hotel Group	356	3	118	-	-	-
Ayres Hotels	343	3	114	-	-	-
Elite Properties Realty	343	1	343	-	-	-
The Irvine Company	332	1	332	-	-	-
Heritage Hotel Group	277	3	92	$13,750,000	-	$13,750,000
Landry's, LLC	261	1	261	-	-	-
The RMR Group	258	2	129	-	$5,936,000	-$5,936,000
Clearview Capital	254	1	254	-	-	-
Pacific Hospitality Group	252	1	252	-	-	-
Ahir Hospitality	232	2	116	-	-	-
Certares	196	1	196	-	-	-
HRI Properties	196	1	196	-	-	-
Leisure Sports Inc	174	1	174	-	-	-
Mike S Patel	170	2	85	-	-	-
JC Resorts LLC	167	1	167	-	-	-
Ashford Inc.	156	1	156	-	-	-
Chang Family Trust	148	1	148	-	-	-
Amit D Patel	148	1	148	-	-	-
Chang & Cote, LLP	146	1	146	-	-	-
Leader Investments, LLC	146	1	146	-	-	-
Continuum Analytics	138	4	34	-	$10,067,091	-$10,067,091
Apple Hospitality REIT, Inc.	130	1	130	-	-	-
Hilton Grand Vacations	130	1	130	-	-	-
Summit Hotel Properties Inc	129	1	129	-	-	-
Herman Lin	128	1	128	-	-	-
Steven Hurdle	125	1	125	-	-	-
Rivendell Land Company	125	1	125	-	-	-
Noble Investment Group	122	1	122	$5,936,000	-	$5,936,000
Tharaldson Hospitality Management	112	1	112	-	-	-
Jasman Hospitality Inc	112	1	112	-	-	-
Suboth V Patel	110	1	110	-	-	-

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TOP BUYERS PAST 12 MONTHS

Company Name	Sales Volume	Transactions	Transacted Rooms	Avg Rooms	Cap Rate	Sale Price/Room
Kamla Hotels	$17,500,000	1	91	91	-	$192,308
Heritage Hotel Group	$13,750,000	1	103	103	-	$133,495
Noble Investment Group	$5,936,000	1	122	122	-	$48,656
Yuhaaviatam of San Manuel Nation	-	1	240	240	-	-

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TOP SELLERS PAST 12 MONTHS

Company Name	Sales Volume	Transactions	Transacted Rooms	Avg Rooms	Cap Rate	Sale Price/Room
Sunset Pacific Hotel Group	$17,500,000	1	91	91	-	$192,308
Arbor Lodging Partners	$13,750,000	1	103	103	-	$133,495
The RMR Group	$5,936,000	1	122	122	-	$48,656
Ohana Real Estate Investors	-	1	240	240	-	-

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TOP BROKERS PAST 12 MONTHS

Company Name	Sales Volume	Transactions	Transacted Rooms	Avg Rooms	Cap Rate	Sale Price/Room
Atlas Hospitality Group	$35,000,000	2	182	91	-	$192,308

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OVERALL SALES

	Completed Transactions (1)						Market Pricing Trends (2)		
Year	Deals	Volume	Turnover	Avg Price	Avg Price/Room	Avg Cap Rate	Price/Room	Price Index	Cap Rate
2030	-	-	-	-	-	-	$681,675	339	7.3%
2029	-	-	-	-	-	-	$668,269	333	7.3%
2028	-	-	-	-	-	-	$654,548	326	7.3%
2027	-	-	-	-	-	-	$634,220	316	7.3%
2026	-	-	-	-	-	-	$616,679	307	7.3%
YTD	-	-	-	-	-	-	$603,043	300	7.3%
2025	6	$58.7M	3.9%	$11,747,200	$130,235	-	$602,466	300	7.3%
2024	5	$110.6M	2.1%	$27,637,500	$447,571	3.0%	$592,010	295	7.3%
2023	4	$22.6M	0.9%	$7,530,000	$228,182	6.0%	$533,490	266	7.1%
2022	10	$937.2M	10.3%	$104,133,518	$777,761	-	$465,746	232	6.9%
2021	9	$55.2M	1.3%	$9,202,917	$349,478	-	$409,067	204	6.9%
2020	5	$246.3M	6.8%	$49,265,300	$311,018	6.8%	$395,288	197	7.4%
2019	4	$588.4M	6.9%	$147,093,750	$754,327	7.5%	$423,788	211	7.5%
2018	4	$132.1M	4.8%	$33,031,250	$246,043	9.5%	$420,133	209	7.3%
2017	6	$235.2M	6.5%	$47,045,245	$326,703	5.5%	$402,976	201	7.3%
2016	8	$563M	7.6%	$80,425,000	$685,719	5.9%	$373,026	186	7.4%

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LUXURY & UPPER UPSCALE SALES

	Completed Transactions (1)						Market Pricing Trends (2)		
Year	Deals	Volume	Turnover	Avg Price	Avg Price/Room	Avg Cap Rate	Price/Room	Price Index	Cap Rate
2030	-	-	-	-	-	-	$1,114,182	360	6.6%
2029	-	-	-	-	-	-	$1,092,270	353	6.6%
2028	-	-	-	-	-	-	$1,069,844	346	6.6%
2027	-	-	-	-	-	-	$1,036,619	335	6.7%
2026	-	-	-	-	-	-	$1,007,947	326	6.7%
YTD	-	-	-	-	-	-	$985,578	318	6.7%
2025	1	$0	0%	-	-	-	$984,876	318	6.7%
2024	2	$95.5M	2.2%	$47,750,000	$718,045	3.0%	$969,251	313	6.7%
2023	1	$0	0%	-	-	-	$872,326	282	6.5%
2022	4	$836M	10.3%	$209,006,292	$1,339,784	-	$754,259	244	6.4%
2021	5	$53M	2.4%	$10,603,500	$363,134	-	$652,342	211	6.5%
2020	1	$216M	8.7%	$216,000,000	$406,015	-	$621,816	201	7.0%
2019	2	$570.5M	10.9%	$285,250,000	$872,324	8.8%	$664,098	215	7.1%
2018	3	$123.8M	8.0%	$41,266,667	$259,539	9.5%	$657,296	212	6.9%
2017	2	$182.5M	9.4%	$91,250,000	$330,018	5.5%	$629,228	203	6.9%
2016	4	$533.7M	12.2%	$133,418,750	$784,816	5.9%	$580,179	187	7.0%

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UPSCALE & UPPER MIDSCALE SALES

	Completed Transactions (1)						Market Pricing Trends (2)		
Year	Deals	Volume	Turnover	Avg Price	Avg Price/Room	Avg Cap Rate	Price/Room	Price Index	Cap Rate
2030	-	-	-	-	-	-	$230,595	255	7.9%
2029	-	-	-	-	-	-	$226,060	250	7.9%
2028	-	-	-	-	-	-	$221,419	245	7.9%
2027	-	-	-	-	-	-	$214,542	237	7.9%
2026	-	-	-	-	-	-	$208,608	231	7.9%
YTD	-	-	-	-	-	-	$203,971	225	7.9%
2025	2	$31.3M	4.4%	$15,625,000	$164,474	-	$203,535	225	7.9%
2024	3	$15.1M	2.6%	$7,525,000	$132,018	-	$198,328	219	7.9%
2023	1	$15M	1.6%	$15,000,000	$217,391	-	$180,382	199	7.7%
2022	6	$101.2M	13.3%	$20,235,300	$174,142	-	$166,018	184	7.5%
2021	-	-	-	-	-	-	$157,070	174	7.4%
2020	3	$25.1M	5.1%	$8,375,833	$115,795	6.8%	$161,694	179	7.9%
2019	-	-	-	-	-	-	$176,260	195	7.9%
2018	1	$8.3M	1.5%	$8,325,000	$138,750	-	$175,887	194	7.7%
2017	4	$52.7M	4.2%	$17,575,409	$315,726	-	$170,145	188	7.7%
2016	2	$15.3M	2.8%	$15,300,000	$139,091	-	$160,443	177	7.8%

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MIDSCALE & ECONOMY SALES

	Completed Transactions (1)						Market Pricing Trends (2)		
Year	Deals	Volume	Turnover	Avg Price	Avg Price/Room	Avg Cap Rate	Price/Room	Price Index	Cap Rate
2030	-	-	-	-	-	-	$151,047	265	8.1%
2029	-	-	-	-	-	-	$148,076	260	8.1%
2028	-	-	-	-	-	-	$145,036	254	8.1%
2027	-	-	-	-	-	-	$140,532	246	8.1%
2026	-	-	-	-	-	-	$136,645	240	8.1%
YTD	-	-	-	-	-	-	$134,146	235	8.2%
2025	3	$27.5M	20.3%	$9,162,000	$105,310	-	$133,685	234	8.2%
2024	-	-	-	-	-	-	$130,109	228	8.1%
2023	2	$7.6M	2.3%	$3,795,000	$253,000	6.0%	$116,725	205	7.9%
2022	-	-	-	-	-	-	$107,303	188	7.7%
2021	4	$2.2M	0.9%	$2,200,000	$183,333	-	$104,021	182	7.5%
2020	1	$5.2M	3.3%	$5,199,000	$120,907	-	$107,220	188	8.0%
2019	2	$17.9M	9.8%	$8,937,500	$141,865	6.8%	$117,133	205	8.0%
2018	-	-	-	-	-	-	$117,339	206	7.8%
2017	-	-	-	-	-	-	$113,432	199	7.8%
2016	2	$14M	2.4%	$7,000,000	$451,613	-	$105,657	185	7.9%

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